

expressed its own opinion and permitted an adequate statement of the other side of the case.

Other Examples of Voluntary Liquidation. The subjoined partial list will demonstrate an obvious but fundamental fact, viz., that the liquidation (or sale) of an unprofitable company holding substantial assets (particularly current) is almost certain to realize for the stockholders considerably more than the previously existing market price. The reason is, of course, that the market price is governed chiefly by the earnings, whereas the proceeds of liquidation depend upon the assets.

Company	Year liquidation or sale voted	Price shortly before vote to liquidate or sell	Amount realized for stock
American Glue	1930	\$53	\$139.00+
I. Benesch & Sons	1939	2 ¹ / ₄	6.63
Federal Knitting Mills	1937	20	34.20
Lyman Mills	1927	112	220.25
Mohawk Mining	1933	11	28.50
Signature Hosiery Pfd	1931	3 ¹ / ₈	17.00
Standard Oil of Nebraska	1939	6	17.50
United Shipyards A	1938	2 ¹ / ₄	11.10*

* To Dec. 31, 1939.

Repurchase of Shares Pro Rata from Shareholders. The Hamilton Woolen management is also to be commended for its action during 1932 and 1933 in employing excess cash capital to repurchase pro rata a substantial number of shares at a reasonable price. This reversed the procedure followed in 1929 when additional shares were offered for subscription to the stockholders. The contraction in business that accompanied the depression made this additional capital no longer necessary, and it was therefore a logical move to give most of it back to the stockholders, to whom it was of greater benefit when in their own pockets than in the treasury of the corporation.⁵

⁵ Hamilton Woolen sold 13,000 shares pro rata to stockholders at \$50 per share in 1929. It repurchased, pro rata, 6,500 shares at \$65 in 1932 and 1,200 shares at \$50 in 1933. Faultless Rubber Company followed a similar procedure in 1934. Simms Petroleum Company reacquired stock both directly from the shareholders on a pro rata basis and in the open market. Its repurchases by both means between 1930 and 1933 aggregated nearly 45% of the shares outstanding at the end of 1929. Julian and Kokenge (Shoe) Company made pro rata repurchases of common stock in 1932, 1934 and 1939.